

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

COLOR BRANDS, LLC, *Complainant*

v.

AAF LOGISTICS, INC., *Respondent*.

DOCKET NO. 22-18

Served: October 18, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER GRANTING MOTION TO WITHDRAW AS COUNSEL AND ORDER TO SHOW CAUSE

I. Motion by Respondent's Counsel to Withdraw.

On October 17, 2022, counsel for Respondent filed a motion to withdraw pursuant to Commission Rule 502.23(e) and ABA Model Rules 1.16(a)(3), stating:

On October 17, 2022, Respondent notified undersigned that its services were being terminated and discharged effective immediately. Respondent confirmed it was made aware of the consequences and impact of undersigned counsels' termination and discharge, and which decision could result in a default judgment. Notwithstanding, Respondent acknowledged the consequences as explained, and still desired to terminate and discharge undersigned counsels' representation.

Motion to Withdraw at 1.

Good cause having been stated, it is hereby **ORDERED** that Respondent's counsel's motion to withdraw be **GRANTED**.

II. Respondent is in Default and Must Respond to the Complaint.

On August 30, 2022, the Commission issued a Notice of Filing of Complaint and Assignment ("Notice"), advising Respondent AAF Logistics, Inc. ("AAF Logistics") that a complaint had been filed against it and the cover letter stated that a response to the complaint was due within 25 days. On August 31, 2022, an Order Designating Administrative Law Judge and an Initial Order were issued.

On September 26, 2022, a notice of appearance and a motion for extension of time to file answer were filed by Respondent's counsel. On September 27, 2022, an order was issued granting the motion for extension of time and requiring a response to the complaint by October 17, 2022.

To date, no response has been filed by Respondent to the complaint. The complaint alleges a violation of sections 41102(c), 41104(a)(1), and 41104(4)(E) of the Shipping Act of 1984 (“Shipping Act”). Complaint at 5. Complainant seeks damages of up to \$ 322,624.17. Complaint at 5.

The Commission’s rules require that Respondent file an answer within twenty-five days after the date of service. *See* 46 C.F.R. § 502.62(b). The answer was due on October 17, 2022. No answer has been filed to date. Respondent initially retained counsel for this proceeding but terminated them. Prior to withdrawing as counsel, Respondent was warned by its counsel that failure to respond to the complaint could lead to a default decision.

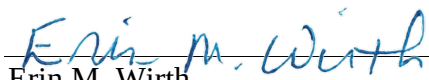
Pursuant to Commission Rules:

Failure of a party to file an answer to a complaint, counterclaim, crossclaim, or third-party complaint within the time provided will be deemed to constitute a waiver of that party’s right to appear and contest the allegations of the complaint, counterclaim, crossclaim, or third-party complaint to which it has not filed an answer and to authorize the presiding officer to enter an initial decision on default as provided for in 46 CFR 502.65. Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62(b)(6).

Respondent is currently in default. There may be some valid reason why Respondent has failed to respond. Therefore, Respondent will be granted additional time to respond to the complaint and to show cause why judgment should not be entered against it.

Accordingly, AAF Logistics is hereby **ORDERED** to respond to the complaint by November 18, 2022. If Respondent fails to respond to this order by November 18, 2022, a default decision may be entered against it, including awarding reparations to Complainant up to \$ 322,624.17, plus attorney’s fees if sought, and any other appropriate penalty.


Erin M. Wirth
Chief Administrative Law Judge